



SUSTAINABILITY

Visible Progress: Hershey’s Cocoa For Good Strategy



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Four years ago, Hershey launched our Cocoa For Good strategy, a 10-year, \$500 million investment that exemplifies Hershey’s commitment to achieve a more resilient and sustainable cocoa supply chain. Since joining the company in late 2021, I have had the exciting opportunity to lead the implementation of the strategy, drawing on what we’ve learned thus far from a range of Cocoa For Good activities conducted in cocoa-growing communities around the world.. These learnings are prompting us to evolve our ways of working, improve transparency for our key stakeholders, and provide greater assurances about our products.

I was born and raised in Peru, where cocoa production has dramatically increased over the past several years. This experience instills in me a deep appreciation for the challenges that many developing economies and cocoa-growing communities face, whether they are in South America, Africa or Asia. Cocoa For Good raises Hershey’s ethical and social responsibility to these communities by seeking to create the best outcomes for cocoa farmers, their families, and communities throughout our supply chain through the following key objectives:

- Improving farmer incomes and livelihoods
- Eliminating child labor and improving children’s nutrition
- Protecting the environment

By 2025, we aim to achieve 100% sourcing visibility in Côte d’Ivoire and Ghana, the world’s top two producers of cocoa. Clear visibility into how and under what conditions the cocoa volumes we source is grown and cultivated enables us to refine Cocoa For Good, implementing programs that focus on helping improve farmer incomes, end child labor and protect the environment. Understanding the origin of cocoa is also essential to ensure that it meets our human rights and environmental requirements.

- *Specifically, this is the progress we have made to date:Improving farmer incomes and livelihoods*
Through Cocoa For Good, we have supported more than 90,000 cocoa farmers with a range of services, including training on good agricultural practices that, when adopted, can help ensure that farmers are more successful. More than 41,000 farmers have been individually coached, we have worked with more than 31,000 on development of detailed farm management plans and another 3,000 have participated in income generating activities that focused on diversifying income sources unrelated to cocoa farming (with a focus on empowering women to improve their livelihoods). Through a partnership involving Hershey, the U.S. Agency for International Development, the Governments of Côte d’Ivoire and Germany, and others, nearly 1,250 farmers received land tenure documents that will help them secure rights to the land where they live and work. Farmers in Ghana received more than 79,000 cocoa seedlings to help replace old or diseased trees. We also maintain our commitment to pay the Living Income Differential, established in 2021 by the governments of Côte d’Ivoire and Ghana.
- *Eliminating child labor and improving children’s nutrition*
Based on what we have learned during the past four years, we are expanding the coverage of our Child Labor Monitoring and Remediation Systems (CLMRS), the leading way to detect, remediate and eliminate child labor, across our cocoa sourcing supply chain in Côte d’Ivoire and Ghana as we aim for 100% coverage of our Cocoa For Good farms by 2025. In 2021 alone, we monitored nearly 103,000 children. This includes engaging trusted members of farmers’ own communities in auditing farmers’ work practices and following up with them to identify appropriate remediation approaches that help farming families lessen their reliance on the work of children (and keep children in school). By providing education and skills training for adult workers, we are also helping to create employment in rural communities and provide skilled laborers who can perform tasks that otherwise might be done by children on their families’ farms. Following the successful trial of our Energize Learning school feeding project in Ghana, we are now expanding the project to include Côte d’Ivoire, where a new state-of-the art factory in San Pedro operated by our partners at Project Peanut Butter is producing ViVi, a vitamin-fortified ready to use therapeutic food that is distributed to nearly 25,000 school children daily. Combined with the project’s reach in Ghana, ViVi is now being enjoyed by 45,000 children across both countries and its presence in schools serves both to nourish children and encourage them to attend school.
- *Protecting the environment*
Hershey’s is committed to eliminating commodity-driven deforestation from our entire supply chain by 2030, while respecting and protecting human rights in the communities where our suppliers source the cocoa volume that is used in our products. We announced our no-deforestation policy in 2018 to advance environmental progress, guide Hershey activities aimed at eliminating deforestation in our global supply chain and contribute to global climate action. To monitor deforestation and improve traceability in our supply chain, we are now requiring our suppliers to polygon map 100% of farms that produce Hershey’s cocoa volume in Côte d’Ivoire and Ghana and are at 46%¹ of the way to our goal. Additionally, we are providing specialized guidance on environment-friendly actions, climate-smart farming techniques, and agroforestry. Over the past four years, we have distributed more than ,1.3 million non-cocoa trees to farmers for planting on their farms and in 2021 we have trained nearly 30,000 farmers in climate smart farming practices. Through Cocoa For Good, we are partnering with other cocoa sector companies, the Government of Ghana, the U.S. Agency for International Development, and other partners to protect the landscape surrounding Ghana’s Kakum National Park, which is home to antelopes, elephants, monkeys, and other endangered wildlife species. The activity includes paying more than 800 farmers for environmental services.

Far from finished

Hershey’s is today in a unique position to combine the philanthropic heritage passed down to us by our founder, Milton S. Hershey, with our success as a business to make a major difference in the lives of cocoa farmers. We must continue to look for ways to achieve more impact and lift farmers out of poverty and toward living income. Cocoa For Good is helping us stay on track toward that ambition and I am happy to be making a major contribution to this effort.

Beginning in 2021, to be considered polygon mapped, all farm plots managed by the farmer must be mapped, as defined by the World Cocoa Foundation. Previously a farmer was considered polygon mapped if at least one plot of land was mapped.